

Regardless of which of these two main paths you decide to take, you need to do some proper homework on the pros and cons of either solution. More and more professional investors have a preference for managed accounts because they reduce legal risks, but for most managed-account setups you need larger amounts from each client than you would need for a hedge-fund set-up. The situation also varies a lot depending on where you and your potential clients are domiciled. Look into the applicable legal situation and be sure to check what, if any, regulations apply. You may need licences from the local regulators and breaching such requirements could quickly end your trading career.

■ Differences between Running a Trading Business and Personal Trading

Marketability of Your Strategy

When you trade your own account, and sometimes even manage accounts for trusted people, you can trade on pretty much anything you think makes sense without having to convince anyone of how good your ideas are. If you are truly a very strong trader and you have a stellar track record, you may be able to do the same thing for a hedge fund or professional managed accounts, but the days of the black box funds are mostly in the past. Simply telling prospective clients to just trust you and only hinting at how your strategies work no longer make for a good sales pitch. If you are dependent on raising assets for your new fund, as most of us are, you need a good story to be able to paint a clear picture of what your fund does and why it can make a big difference. This does not mean that you need to disclose all your mathematics and hand over source code for your programs, but the principal idea of what your strategy is about, what kind of market phenomenon you are trying to exploit and how you intend to do so, need to be clear and explicable. You also need to be able to explain how your risk and return profile will look, what kind of return you are targeting, and at what kind of volatility level. Even if you have a good story for these aspects, you still need to be able to explain why your product is unique and why the prospective client should not just go and buy another similar fund or hand money to a different futures manager with a successful track record of many years.